

Req 1. What reports Accounts Departments will generate (minimum 5 reports)

Based on the process flow for the Employees Loan Management System, the Accounts Department is responsible for the financial oversight, disbursement, and recovery of loans. To ensure transparency and fiscal control, the following reports would be generated:

- **Loan Disbursement Report:** A detailed summary of all loans successfully granted and disbursed within a specific period (e.g., monthly). This includes the employee name, loan amount, and the date the funds were transferred.
- **Repayment Schedule Summary:** A report listing all active loans along with their corresponding repayment timelines. This helps the department forecast cash flow and track the duration of outstanding debts.
- **Monthly Deduction Report:** A specialized payroll-linked report that details the automated deductions made from employee salaries for that month. This ensures that the recovery process is aligned with the agreed-upon terms.
- **Outstanding Loan Balance Report:** A comprehensive list of all employees with active loans, showing the original principal, the total amount repaid to date, and the remaining balance.
- **Loan Rejection & Reasoning Log:** While HR initiates the review, the Accounts Department maintains a financial record of rejected applications. This report outlines the financial grounds for rejection (e.g., debt-to-income ratio or eligibility issues) for auditing and compliance purposes.

Req 2. What is the structure of the message/mail communicated from the HR department to the employee in case the Loan is rejected?

When a loan is rejected within the Employees Loan Management System, the communication from the HR department must be professional, transparent, and compliant with corporate policy. The structure of this message is designed to provide clarity while maintaining a positive employee relationship.

Section	Purpose	Example Content
Header & Subject	Clear identification of the email content.	"Loan Application Status - [Application ID] - Confidential"
Salutation	Personalizing the message to the employee.	"Dear [Employee Name],"
Decision Statement	Direct and immediate communication of the rejection.	"We regret to inform you that your request for an employee loan has been declined at this time."

Reason for Rejection	Transparency regarding the specific eligibility or financial criteria not met.	"The rejection is due to [Specific Reason: e.g., Debt-to-income ratio exceeding 40% / Minimum tenure not met]."
Policy Reference	Linking the decision to established TTS Company guidelines.	"This decision is based on the Loan Eligibility Criteria as outlined in the Employee Handbook Section 4.2."
Future Eligibility	Information on when the employee can reapply.	"You may submit a new request after [Date/Duration] or once the current criteria are satisfied."
Closing & Contact	Providing a channel for further clarification if needed.	"Should you have any questions, please contact the HR Benefits team at [Email/Extension]."

Sample Communication

Subject: Notification Regarding Your Loan Application (Ref: #ELMS-982)

Dear [Employee Name],

Thank you for submitting your application for the Employee Loan initiative.

After a thorough review by our HR and Accounts departments, we regret to inform you that your loan application has been Rejected.

Reason for Rejection: Your current employment tenure is less than the required 12 months for loan eligibility as per TTS Company policy.

We encourage you to review our internal loan guidelines on the company portal. You will be eligible to reapply once you have completed your first anniversary with the firm.

Regards,
HR Department
TTS Company

Req 3. What is the structure of the message/mail communicated from the HR department to the employee in case the Loan is approved?

When a loan is approved, the communication must be detailed and legally binding. The structure focuses on transparency regarding the financial commitment the employee is making and requires an explicit "Acceptance" to trigger the disbursement.

Section	Purpose	Example Content
---------	---------	-----------------

Subject Line	Immediate identification of approval.	"ACTION REQUIRED: Your Loan Application [ID] has been Approved"
Salutation	Personalization.	"Dear [Employee Name],"
Approval Summary	High-level details of the offer.	"We are pleased to inform you that your loan of \$5,000 has been approved."
Terms & Conditions	Detailed financial breakdown.	Interest rate (if any), total tenure, and effective date.
Repayment Schedule	Transparency on salary impact.	"Monthly deduction of \$500 for 10 months starting April 2026."
Acceptance Trigger	Legal requirement for disbursement.	"Please click the 'Accept' button below to agree to the terms."
Closing	Support information.	Contact details for the Accounts department.

Sample Communication

Subject: Loan Approval and Repayment Terms (Ref: #ELMS-1044)

Dear [Employee Name],

We are pleased to inform you that your application for an employee loan has been Approved by the HR and Accounts departments.

Loan Details:

- Approved Amount: \$10,000
- Interest Rate: 2% (Annual)
- Loan Tenure: 12 Months

Repayment Schedule:

Your monthly repayment will be \$850.00, which will be automatically deducted from your salary on the last working day of each month, commencing from April 2026.

Action Required:

Please log in to the Employees Loan Management System (ELMS) portal to review the full Terms and Conditions. By clicking "Accept Offer" in the portal, you authorize TTS Company to perform the automated salary deductions as outlined above.

Once accepted, the funds will be disbursed to your registered salary account within 3 business days.

Regards,

HR & Accounts Department
TTS Company

Req 4. Design a sample report on the Loans applications Received by the accounts Department

Loan Applications Received Report

This report is designed for the Accounts Department to track incoming requests, assess financial feasibility, and monitor the current pipeline of loan applications within the Employees Loan Management System.

Report ID: ACC-LR-2026-003

Reporting Period: 01-Mar-2026 to 07-Mar-2026

Generated By: ELMS Automated System

Status: Confidential

App ID	Date Received	Employee Name	Department	Loan Amount Requested	Employee Tenure	Current Status
ELMS_101	01-Mar-2026	Debal Adhikari	Business Analysis	\$5,000	2.5 Years	Approved
ELMS_102	02-Mar-2026	Amit Sharma	R&D	\$12,000	4.0 Years	Under Review
ELMS_103	03-Mar-2026	Priya Verma	Software Dev	\$3,500	0.8 Years	Rejected
ELMS_104	05-Mar-2026	Rajesh Kumar	Accounts	\$7,500	5.2 Years	Approved
ELMS_105	06-Mar-2026	Sneha Gupta	BFSI Sales	\$15,000	1.5 Years	Pending Info

Summary Metrics (Current Week)

Metric	Value
Total Applications Received	5
Total Amount Requested	\$43,000
Average Loan Value	\$8,600
Approval Rate (to date)	40%

Key Observations for Accounts

- ELMS_103 (Priya Verma): Rejection triggered automatically due to tenure being less than the mandatory 12-month threshold.
- ELMS_105 (Sneha Gupta): Higher loan amount requested relative to tenure; HR has requested additional debt-to-income verification before Accounts finalizes the approval.
- Funding Impact: If all pending and approved loans are disbursed, the total cash outflow for this week will be \$24,500 (excluding rejected apps).

Req 5. Which reporting Tools we will use for generating reports.

To generate the necessary reports for the Employees Loan Management System, we would utilize a combination of enterprise reporting and data visualization tools. These tools are selected based on their ability to handle sensitive financial data, provide real-time updates, and automate the distribution of reports to the HR and Accounts departments.

Tool Category	Recommended Software	Primary Use Case in ELMS
Data Visualization	Tableau / Power BI	Creating executive dashboards to track loan approval rates, total debt exposure, and department-wise loan distribution.
Enterprise Reporting	SAP Crystal Reports	Generating formal, pixel-perfect documents like the Loan Repayment Schedule or Disbursement Advice for employees.
Database Reporting	SQL Server Reporting Services	Automating daily operational reports, such as the Monthly Deduction Report pulled directly from the payroll database.
Spreadsheet Analysis	Microsoft Excel (Advanced)	Ad-hoc analysis by the Accounts department for quick calculations or manual audits of loan applications.
Cloud-Native BI	Google Looker	Real-time monitoring of application statuses for HR managers, accessible via the company intranet.

How These Tools Drive the Process

1. Automation: Tools like SSRS can be scheduled to email the "Monthly Deduction Report" to the Payroll team on the 25th of every month without manual intervention.
2. Data Security: Since we are dealing with BFSI (Banking, Financial Services, and Insurance) standards, these tools allow for Role-Based Access Control, ensuring only authorized Accounts personnel see sensitive salary and loan data.
3. Accuracy: By connecting directly to the ELMS Database, these tools eliminate human error associated with manual data entry.

4. Trend Analysis: Using Power BI, the R&D wing can analyze if certain employee grades are requesting more loans, helping the company refine its "Employee Welfare" initiatives.